

AnalystLab Africa Consulting Project Charter

Project Name	AI-Powered Customer Churn Prediction & Retention System
Client / Organisation	Tarrose Retail (Supermarket Chain, South Africa)
Prepared By	Rosely, Junior Project Manager — AnalystLab Africa Consulting
Sponsor	Head of Marketing & Customer Experience, Tarrose Retail
Project Manager	Tari (AnalystLab Africa Consulting)
Date	9 August 2026

1. Executive Summary

Tarrose Retail is losing loyalty-programme customers to competitors without knowing who or why until they have already stopped shopping. This project will build an AI-powered churn prediction system that unifies customer data from Tarrose Retail's POS, e-commerce, and loyalty platforms to identify at-risk customers before they leave, layering behavioural segmentation on top of churn scores to enable proactive, targeted retention action by Marketing and Customer Service. The solution is then deployed into production, with an ongoing monitoring and retraining process and a formal handover to Tarrose Retail's internal teams, so the system keeps operating and stays accurate after the consulting engagement ends.

The engagement runs over approximately 20 weeks, led by the Project Manager on behalf of AnalystLab Africa Consulting, sponsored by Tarrose Retail's Head of Marketing & Customer Experience, and supported by IT, Data Engineering, Data Science, and Compliance functions on both sides. Success will be measured primarily through churn model accuracy, a measurable reduction in churn among flagged customers during a pilot retention campaign, and a successful operational handover.

2. Scope Definition

In Scope

- Data integration across the three named sources (POS, e-commerce, loyalty)
- Churn prediction model development and testing
- Behavioural segmentation layer built on churn scores
- Dashboard / report for Marketing & Customer Service
- Pilot retention campaign on flagged customers
- Production deployment of the churn model and dashboard
- Ongoing monitoring process for model performance and data quality
- Model retraining process and schedule
- Operational handover to Tarrose Retail's internal IT and Data teams

Out of Scope

- Menu or product-range optimisation
- Supply chain and inventory systems
- In-store staffing or scheduling
- New loyalty programme design
- Real-time chatbot deployment

3. Project Manager and Sponsor Responsibilities

Project Manager Authority & Delegation

- Spending limits: may approve expenditure up to R25,000 per line item without further sign-off; amounts above this require Sponsor approval
- Constraints on approvable changes: may approve minor scope clarifications within the agreed WBS; any change affecting the 75% accuracy target, overall budget, or delivery date requires Sponsor sign-off through change control
- Managing personnel performance: conducts weekly check-ins with the IT Lead, Data Engineer, and Data Scientist; performance concerns are escalated to the relevant functional line manager, with the Sponsor informed for client-side team members
- Accessing contingency funds: may draw on the approved 10% contingency (≈R100,000) with written justification logged in the budget tracker; draws over R20,000 require Sponsor approval before release

Sponsor Responsibilities

- Meetings attended: monthly steering committee meeting, plus ad hoc go/no-go reviews at each phase gate
- Accessing and allocating management reserve: holds authority over any funding beyond the approved budget and contingency; requests are routed through the Tarrose Retail Executive Committee
- Decisions reserved for the Sponsor: approval of scope changes, approval to proceed past each phase gate, and the decision on full rollout after the pilot and operational handover - informed by the risk register status, budget-vs-actual reporting, pilot campaign results, and readiness of the internal team to sustain monitoring and retraining

4. Project Methodology

The project follows a predominantly predictive (Waterfall/PMBOK-aligned) methodology, reflecting its fixed scope, budget, and 20-week timeline agreed upfront. The model development work package (4.0) uses short, iterative testing cycles within this broader plan-driven structure - a hybrid approach - since building and validating a machine learning model naturally benefits from repeated adjustment. The operationalisation work package (7.0) follows the same predictive structure, with its own phase-gate sign-off before full rollout.

Exceptions / Deviations from Standard Project Controls

- Project control deliverables not produced: a formal procurement plan is not required, as no external purchasing beyond existing tool licences is anticipated
- Expanded project control deliverables: the risk register is more detailed than a standard template, given the project's data integration and regulatory compliance exposure

5. High-Level Communication Plan

(Summary only — full detail is provided in the separate Communication Plan deliverable.)

- Who originates communication: the Project Manager originates internal and task-level updates; the Sponsor originates Exec-Committee-facing updates
- What is communicated and when: weekly status updates to the Sponsor; monthly budget reports to Finance; milestone updates to all stakeholders at each phase gate
- Where project data is sourced and stored: task tracking in the team's project management tool; documentation stored in the shared project folder / GitHub repository; risk and budget logs maintained in Excel

6. Assumptions

- Tarrose Retail's POS, e-commerce, and loyalty systems share a common customer identifier, or one can be created
- Customers have consented to data use under POPIA

- Marketing and Customer Service teams are available to act on model outputs
- Tarrose Retail's internal IT/Data team will have capacity to take on monitoring and retraining responsibilities after handover

Confirmation approach: assumptions are verified in Weeks 1–2 through direct confirmation with the IT Lead (data identifiers), the Compliance Officer (consent status), and Tarrose Retail management (post-handover capacity), rather than assumed to hold throughout the project.

7. Constraints

Cost

Maximum project cost: R1,000,000, inclusive of a 10% contingency (≈R100,000).

Timeframe

Project must conclude by Week 20 (approximately 5 months from kickoff).

Scope

- Must-haves: unified customer data view across POS, e-commerce, and loyalty; a working churn prediction model; at-risk customer reporting delivered to Marketing and Customer Service; the model and dashboard running in production; a documented monitoring and retraining process; a completed operational handover
- Nice-to-haves: real-time (rather than batch) score updates; segmentation criteria expanded beyond frequency, spend, and category

Regulatory Items

- Compliance with South Africa's Protection of Personal Information Act (POPIA) across all customer data handling, including in production and during ongoing monitoring

8. Resources Required

- Data Engineer - data pipeline build and production support; ≈50% dedicated time, Weeks 4–12, tapering to ≈25% through Week 18 for deployment and retraining support
- Data Scientist - model development, testing, and retraining process design; ≈75% dedicated time, Weeks 7–18
- IT Lead - systems access, technical review, production deployment, and monitoring set-up; ≈25% time throughout, rising to ≈50% Weeks 17–19
- Compliance Officer - POPIA sign-off; as needed at phase gate reviews, including the production readiness gate
- Marketing & Customer Service team members - segment validation, training, and pilot campaign execution; light involvement, Weeks 11–17
- Tarrose Retail internal IT/Data team - onboarding to the monitoring and retraining process ahead of handover; light involvement, Weeks 17–19

9. High-Level Risks

(Detailed further in the Risk Register.)

- Data integration complexity across three platforms
- Inconsistent customer identifiers between systems
- Model prediction accuracy below target
- Low staff adoption of retention recommendations
- Insufficient internal capacity at Tarrose Retail to sustain monitoring and retraining after handover
- Schedule pressure from the festive-season office closure falling within Weeks 19–20

10. Project Success Criteria

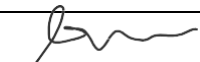
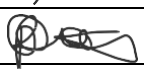
How Success Will Be Measured

- Churn model accuracy scored against a held-out test dataset
- At-risk customer list delivery tracked monthly against schedule
- Churn rate among the pilot's flagged segment measured against a control group
- Production uptime and monitoring/retraining process adherence post-deployment

Definition of Acceptable Success

- Churn model achieves at least 75% prediction accuracy on test data
- At-risk customer list is delivered to Marketing on a monthly cadence with no missed cycles
- Pilot retention campaign reduces churn in the flagged segment by at least 10% versus the control group
- Model and dashboard are deployed to production and formally handed over, with Tarrose Retail's internal team able to run the monitoring and retraining process unassisted

11. Approval

Sponsor Signature	
Project Manager Signature	
Date	09 August 2026